

on only one indicator, to the exclusion of all others: the percentages of bulls and bears among newsletter advisory services. These numbers have been about evenly split in recent years, whereas at many tops, bullish advisors have outnumbered bears by a 2-to-1 or even a 10-to-1 margin. The professionals' focus on this apparent technical positive (along with the denial that the negatives are negative) is symptomatic of the intense search by most investors to find a reason to stay bullish so that their brains will agree with their guts.

There are times in history when the percentage of naive investors is so high that occasional warnings from professionals are irrelevant to net market psychology. This is one of those times. The first point to make is that opinions of market letter writers are virtually irrelevant, as so few of today's woefully unsophisticated retail investors read independent analysis. Subscription levels are low and coverage of timing opinions from anyone besides economists and money managers on CNBC is 1/100th of what it was on FNN several years ago. As many newsletter editors will attest, the public simply decided after the crash of 1987 to hand its money over to managers. Money managers do not read timing services; they pick stocks and heed their own allocation gurus, who are mostly unconcerned with timing, a bearish fact in its own right. Indeed, it is likely that there are more market observers using the percentage of services bearish to argue a bullish position than there are followers of the bearish positions that the services have taken! So the *influence* of bearish newsletters today is virtually nil.

Now let's examine *which* among the advisory services tend toward a bearish opinion in today's market. Margo Parrish of *Margo's Market Monitor* recently made an interesting observation in regard to the advisors who are bearish:

Have you noticed the age delineation between the bull camp and the bear camp? The bulls are, on average, young. They don't know what a long drawn-out bear market is like. On the other hand, the bears are generally older and have vivid memories of conservative pension funds falling 50% in price and individual stocks falling 60% to 80% in value.

Steve Halpern of *Dick Davis Digest* adds,

A quick perusal of the newsletters received in my office attests to the accuracy of her comments. Most of those newsletters that began publishing in the mid-to-late 1980s are bullish, while